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2025 MF OUTLOOK

TIME TO BE SMART

This year could be a good time to take home some profits, reduce risk, and shift to large-cap investments

BY NAVNEET DUBEY

► **THE YEAR 2025** has begun in the backdrop of several global economic headwinds. Geopolitical tensions and potential recessions have cast a shadow over markets. The instability has prompted foreign institutional investors (FIIs) have been selling in India through January.

This presents both opportunities and challenges for mutual fund investors. In such uncertain times, funds with pre-defined asset allocation frameworks lower tax burden and transaction costs, enabling in-

vestors to adopt a long-term investment horizon. Despite the volatility that equity markets might experience, sectors like pharmaceuticals, technology, and infrastructure are likely to offer growth potential. Debt funds could also provide stability in a volatile market, but investors need to carefully evaluate credit risks.

According to experts, while 2025 could be a good time to take home some profits, reduce risk, shift to large-cap investments, one should also adapt to changing dynamics.

MARKET OUTLOOK

Despite the uncertainties, mid- and small-cap stocks defied the odds and surged ahead, driven by solid performance from sectors such as pharmaceuticals, information technology, and infrastructure.

But 2025 brings with it larger geopolitical risks, trade wars, and changing government policies that could pose significant challenges to both economic growth and corporate profits. "The market outlook for 2025 will depend on a combination